withdrawing from the forex market was by no means the sole option. However, the market decided that I had declared my intent to stop forex intervention with immediate effect! I was frustrated by this tendency of the market to look for coded messages behind plain English, a clear example of what psychologists call ‘confirmation bias’, the market hearing not what was said, but what it wanted to hear.

Since this misinterpretation would distort market expectations, it was important for us to correct it. At the same time, it would have been uncharacteristic—and perhaps not expected—of the Reserve Bank to issue an explicit clarification. I was looking for an early and unobtrusive opportunity to correct it and it came a few days later when I was scheduled to speak at the annual convention of the Institute of Chartered Accountants of India (ICAI) in Mumbai.

By this time, over three years into my job, I was quite familiar with the standard drill of the governor’s public-speaking engagements. As soon as the inaugural session where I would typically be featured draws to a close, when the delegates are breaking for coffee and I would be getting off the stage, the media attending the conference would mob me for a question-and-answer session. TV cameras would start rolling, still cameras would be clicking and flashing, and dozens of mikes would jostle for space in front of my face. I had routinely discouraged such impromptu media interviews for a number of reasons, including my realization that the media would flash what I said on the sidelines rather than what I had just said in the scheduled speech. I always felt that this was unfair to the hosts of the conference who are entitled to media coverage of their event.

Occasionally, I would break my discipline though, if only to use the opportunity to slip in a message that I wanted to. This time around, for example, after the inaugural session of the ICAI convention, when I was mobbed by the media for a ‘quick sound bite’, I had said that we would use all the instruments available to us, including intervention in the market, to check the rupee volatility, thereby delinking exchange rate action from liquidity management action.